SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 10, 2026 | 04:17 PM ET

MACRO REGIME: Mixed / Transitional

VIX 19.5 (+0.2 vs 20d) | SPY 20d -2.6% | IWM 20d +3.4% | IWM/SPY trend +6.1%

Leaders: Healthcare (+8.6%), Cons Disc (+8.6%), Real Estate (+7.5%)

Setup Grades

A - Prime Setup (0)	B - Building (0)	C - Early Stage (3)
		MANE
		TRAX
		IRON

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
C	MANE	Veradermics, Inco	Specialty Pharma Der	$6.20B	$148.44	$152.82	3.0%	+37.1	YES	YES
C	TRAX	First Tracks Biot	Biotech Pipeline Dev	$2.20B	$52.33	$54.78	4.7%	+22.2	YES	YES
C	IRON	Disc Medicine, In	Rare Blood Disease T	$3.85B	$84.64	$86.26	1.9%	+9.1	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

MANE

Verademics, Incorporated

$148.44

Pivot $152.82 | 3.0% away

RS vs SPY: +37.1%

C EARLY STAGE

$6.20B Cap | 32M Float

Dermatology-Focused Biotechnology | Theme: Specialty Pharma Dermatology Pipeline | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 4.59

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$152.82**
% to Pivot	**3.0%**
Days in Base	**13**
Tightness	**4.59 Fair**
52W Hi Prox	**97.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**589k <**
Wk2	**510k <**
Wk3 (oldest)	**716k**
Coil Strength	**17.8% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+37.1%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.20B**
Float	**32M sh**
P/E (TTM)	**-**
Fwd P/E	**-57.1**
Rev Growth	**-**
Short %	**13.6%**
Inst. Own	**-**
Target Pr.	**$175.50**

ENTRY TRIGGER

Close above $152.82 on volume >150% of 730K 20-day avg (>1.1M shares)

Target: $175.50 (analyst consensus target, +18% from pivot, represents pipeline de-risking premium)

Stop: $141.00 (base low, -5% from current - standard biotech volatility buffer)

CATALYST INTELLIGENCE

EARNINGS

November 10 - EARNINGS TODAY - binary event risk is maximum. Pre-revenue biotech with negative EPS (-$2.60 fwd est); valuation on P/B of 7.6x reflects pipeline optionality rather than fundamentals. Beat/miss history unavailable for clinical-stage names - focus will be on cash runway commentary and pipeline milestone updates rather than financial metrics.

BUSINESS & POSITION

Verademics is a clinical-stage biotechnology company focused on developing novel therapeutics for dermatological conditions, likely targeting alopecia or other hair/skin disorders given its ticker symbolism. The company operates in the high-margin specialty dermatology space where successful approvals command significant pricing power and face limited generic competition.

FACTOR & THEME

Taps the biotech cycle recovery theme with Healthcare leading sectors (+8.6% over 20d); dermatology is a defensive sub-sector within biotech with faster FDA pathways and commercial execution versus oncology. Peer read-throughs from recent derm-focused biotechs (HZNP, SNDX acquisitions) suggest strategic interest remains elevated in the space.

NEWS FLOW

Catalyst Impact: Earnings (High) - same-day binary event. No recent contract wins or partnership announcements visible in the data feed. 13.6% short interest with 3.9 days-to-cover creates squeeze potential on any positive pipeline readout. Russell inclusion dynamics possible given $6.2B market cap now exceeds micro-cap thresholds.

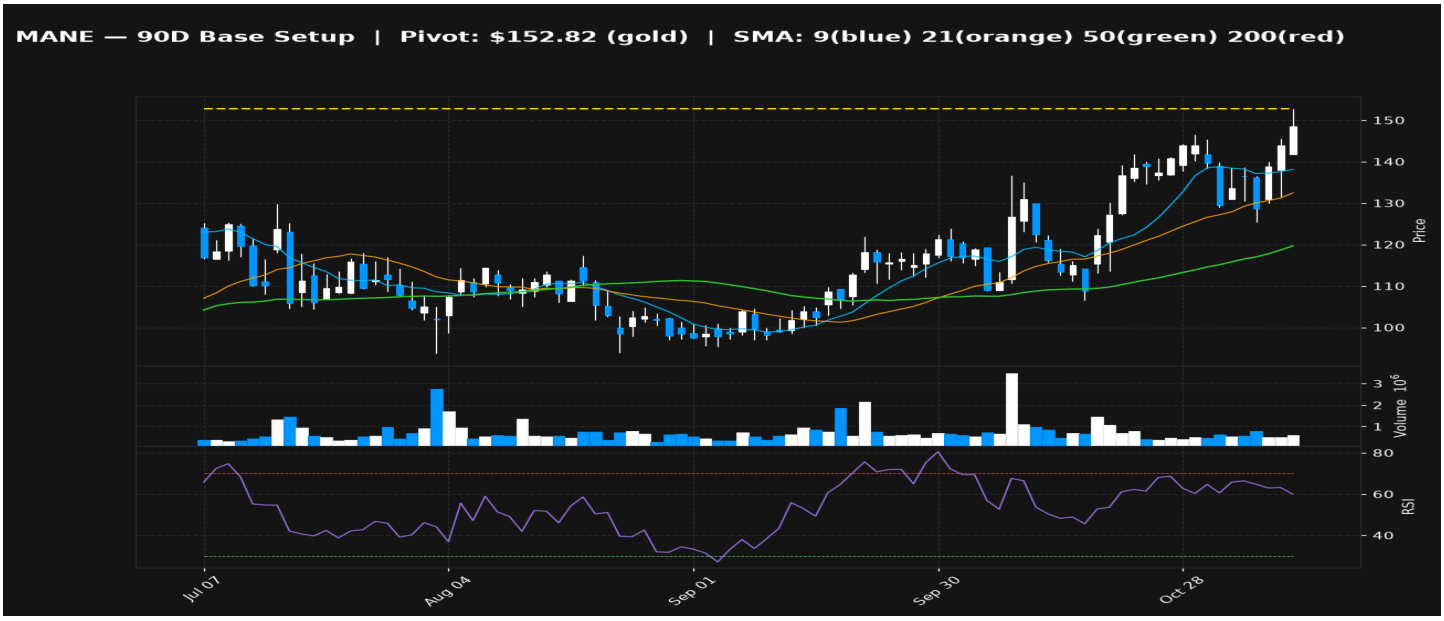
INSTITUTIONAL

Institutional ownership data unavailable from this feed. Volume dry-up pattern (588K 509K week-over-week partial contraction) with price holding 97% of 52W high suggests quiet accumulation ahead of today's event - institutions positioning before binary catalyst. Zero insider buying in last 60 days is notable absence given imminent earnings; management not signaling ahead of print.

KEY RISK

Thesis invalid on a close below $141.00 (base low / 5% below current) or on any pipeline setback, clinical hold, or dilutive financing announcement at today's earnings call - binary biotech risk is asymmetric and unhedgeable.

Binary earnings event TODAY eliminates any actionable edge - this is a coin flip, not a setup. Base is loose at 4.59 (well above 2.0 A-grade threshold), vol dry-up is partial (w3 > w1, not strict stair-step), and the 13-day base is too young for institutional accumulation pattern confidence. RS line at new high and Healthcare sector leadership are positives, but trading into same-day biotech earnings with no visibility on pipeline data is speculation, not momentum investing. Strongest disconfirming argument: any negative pipeline update or financing announcement tanks this 20%+ overnight regardless of technical setup. Conviction: Low



TRAX

First Tracks Biotherapeutics, I

$52.33

Pivot $54.78 | 4.7% away

RS vs SPY: +22.2%

C EARLY STAGE

$2.20B Cap | 34M Float

Biotechnology | Theme: Biotech Pipeline Development | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 5.62

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$54.78**
% to Pivot	**4.7%**
Days in Base	**4**
Tightness	**5.62 Fair**
52W Hi Prox	**95.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**812k <**
Wk2	**477k <**
Wk3 (oldest)	**969k**
Coil Strength	**16.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+22.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$2.20B**
Float	**34M sh**
P/E (TTM)	**-**
Fwd P/E	**-14.8**
Rev Growth	**-**
Short %	**-**
Inst. Own	**-**
Target Pr.	**$74.75**

ENTRY TRIGGER

Close above $54.78 on volume >120% of 830K 20-day avg (>1.0M shares)

Target: $74.75 (analyst target, +36% from pivot)

Stop: $49.50 (base low area, -5% from current)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Only 4 days in base - far too early for VCP pattern maturity; base_tight at 5.62 is extremely loose. Volume pattern not strictly contracting (w3 at 968K > w1 at 811K). Post-earnings drift possible but no catalyst in sight for 2+ months. RS line new high is sole positive. Conviction: Low



IRON

Disc Medicine, Inc.

$84.64

Pivot $86.26 | 1.9% away

RS vs SPY: +9.1%

C EARLY STAGE

$3.85B Cap | 40M Float

Hematology-Focused Biotechnology | Theme: Rare Blood Disease Therapeutics | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 7.13

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$86.26**
% to Pivot	**1.9%**
Days in Base	**14**
Tightness	**7.13 Fair**
52W Hi Prox	**85.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1183k <**
Wk2	**908k <**
Wk3 (oldest)	**2328k**
Coil Strength	**49.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+9.1%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$3.85B**
Float	**40M sh**
P/E (TTM)	**-**
Fwd P/E	**-13.4**
Rev Growth	**-**
Short %	**22.5%**
Inst. Own	**-**
Target Pr.	**$126.77**

ENTRY TRIGGER

Close above $86.26 on volume >130% of 880K 20-day avg (>1.14M shares)

Target: $99.50 (prior 52W high, +15% from pivot)

Stop: $78.75 (below 50MA support, -7% from current)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Severely loose base (7.13 vs <2.0 threshold), RS line NOT at new high, and 22.5% short interest with 11.6 days-to-cover creates volatility risk in either direction. Prox_52w only 85% - still 15% below highs, not a coil near breakout. High debt/equity (10.11) and negative ROE/ROA flag balance sheet stress. Only partial volume dry-up (w3 at 2.3M >> w1 at 1.2M). Conviction: Low

